# HISTORIC PLACES (HP)

## MAR JUN 2025

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**(1) (a) Prepare a report for HP's CEO which discusses the contextual features of HP which she needs to consider when implementing her proposed program of changes (14 marks + comm skill 4 = 18 marks)**

# REPORT

**TO: CEO**

**FROM: Senior consultant**

**SUBJECT: Contextual features of changes**

**DATE: 4 March 20X5**

**INTRODUCTION**

This report discusses the contextual features of HP which you need to consider when implementing the proposed program of changes.

*Scope*

These changes do not aim to transform the entire business model. The purpose of these changes is to increase HP's revenue while remailing within the charitable objectives of the business. Hence this change is "realignment" in nature.

*Reason*

These changes aim to maximize HP's income so that you have more funds to fulfil the charitable purposes. For any change to be successful, the purpose or objective of the change needs to be very clear so that the employees will understand better and participate in the change program.

*Timing*

These changes do not need to be implemented overnight as HP is not in a crisis situation. You can implement these over a passage of time hence you can adopt an "incremental" approach.

*Resources*

One of the change includes hosting hospitality events and special exhibitions for additional fees. You will need to assess whether you have the infrastructure and manpower to organize these events at your sites.

You also want us to invest in e-commerce and e-marketing. You will need to invest in IT hardware and systems. You will also need to recruit IT staff having expertise in e-commerce and e-marketing. It should be assessed how much financial investment would be required.

*Capability*

Since HP has not hosted commercial events and special exhibitions and have no experience of implementing e-commerce and e-marketing, it does not have any prior experience of implementing such changes. You will need to arrange resources who are experts in these field to help you implement these changes.

*Power*

As the new CEO, you will lead the implementation of change. However it will be important to have these planned changes approved by the board of trustees so that you can implement these will with full power and authority.

*Preservation*

Your sites have string historic value. While hosting hospitality events and special exhibitions at the sites, you should ensure that historic value of these sites is preserved and these events do not cause any physical damage or alterations.

*Readiness*

The success of this change depends on the readiness of your employees and volunteers. You will have to ensure that they understand the reason for the change. You will have to assure them that there is no change in the charitable objectives of HP. You will need to train the employees and volunteers.

**Best regards**

**Senior consultant**

**(1) (b) Prepare an email to HP's CEO which discusses her proposals relating to the determination of the executive directors' remuneration and their employment contracts (12 marks + scepticism skill 4 = 16 marks)**

# EMAIL

**TO: CEO**

**FROM: Senior consultant**

**SUBJECT: Executive directors' remuneration and contracts**

**DATE: 4 March 20X5**

This email discusses your proposals relating to the determination of the executive directors' remuneration and their employment contracts.

**Salaries**

*Charitable objectives*

Benchmarking the salaries of key members of the executive board against the commercial sector. I don't think its appropriate (scepticism) to benchmark salaries in the commercial sector as the HP is a charitable organization and has charitable objectives.

*Donor concern*

43% of your income is from donations. If you give commercial sector salaries, donors might feel that their money is being spent on staff rather than direct charitable activities and this can lead to fall in donation income.

*Increased admin cost*

Currently HPs admin cost is 11%. Charities can suffer bad publicity and fall in donation income if admin costs are too high. If you pay commercial sector salaries, this will increase your admin cost and you may face reputation damage.

*Demotivate other staff*

It is a known fact that charitable organizations pay lower salaries. Many employees are working with HP because of their commitment to HP's mission. Don't you think that giving (scepticism) commercial sector salaries to directors and not the 4000 staff will demotivate employees and will increase staff turnover?

*Remuneration Committee*

All your proposed changes relating to remuneration and contracts needs to be approved by the Remuneration committee. As you have rightly mentioned, you will need to discuss these with them and seek their approval.

**Bonus**

*Annual bonus*

Paying an annual bonus to the executive board may be seen negatively by donors as financial surplus should be invested in achieving charitable objectives.

*Demotivate other staff*

HP as 4000 staff. Giving bonus to directors and not the other staff will demotivate them and will result in higher staff turnover causing operation disruptions and lower quality of service.

*Split of bonus*

The amount of bonus will be split equally amongst all members of the board. I don't think that equal split is a good formula (scepticism). If you decide to pay bonus, then it should be based on the individual performance of each director based on their annual targets and KPIs, so that high performers can get more bonus than low performers.

**Employment contracts**

*Longer continuity*

Increasing the length of executive board members' employment contracts from one year to three years. This will reduce the risk of directors leaving in one year and will ensure more continuity, which is favourable for HP.

*Job security*

Increasing the contract to 3 years will provide more job security for directors and will motivate them.

*Low performance*

One of the drawbacks of increasing the duration of the contracts will be that it might relax the directors and hence they might not be on their toes to perform on a high standard.

**Best regards**

**Senior consultant**

**(1) (c) Prepare ONE slide and supporting notes for the CEO to present to HP's executive directors which advise on the qualities of leadership they need to show in order to introduce her proposed program of changes successfully (8 marks + prof skill 0 = 8 marks)**

## SLIDE 1

**Qualities of leadership**

- Strategic management and focus
- Change management
- Communication
- Managing stakeholders
- Problem solving
- Project management

**Speaker notes**

If the proposed changes are to be implemented successfully, the directors should have strategic focus and be able implement the changes and monitor the results to ensure that the desired objectives are achieved

Since these changes are being done for the first time, directors would have change management expertise so that they are able to implement these changes more effectively and on time.

All changes require good communication with employees. Directors should have strong communication skills so that they are able to communicate with employees and volunteers and able to motivate them and address their concerns.

Since these changes will affect several stakeholders both external and internal, directors should be able to effectively manage stake holders to seek their support.

You will face several challenges during the implementation and post implementation. Directors should have good problem solving skills so that issues are addressed properly and in timely manner

Since all change management are projects in nature, the directors should have experience of project management so that the changes are implemented on time, budget and quality.

**(DRAFT ANY 4 POINTS FROM ABOVE)**

**(2) (a) Prepare a report for HP's executive board which compares the financial and non-financial performance of the two sites and discusses the reasons for, and implications of, the results of the comparisons between them (18 marks + analysis skill 4 = 22 marks)**

# REPORT

**TO: Executive Board**

**FROM: Senior consultant**

**SUBJECT: Performance of two sites**

**DATE: 4 March 20X5**

**INTRODUCTION**

This report compares the financial and non-financial performance of the two sites and discusses the reasons for, and implications of, the results of the comparisons between them.

| | Stowater | Thruworth |
|---|---|---|
| **Financial performance:** | | |
| Admission fees and number of visitors | The admission fees increased by 0.4% only. Although the admission fee was increased by 5% yet the revenue did not increase. This is due to decrease in non-member number of visitors by 4.7%, possibly due to price increase in admission fee (price sensitive customers due to economic recession) or due to poor quality service as the satisfaction rating has deteriorated. No increase in admission fees revenue will adversely affect your operating margins. | The admission fees increased by 15%. One of the reason of this increase is that admission fee was increased by 5%. Further increase in admission fees is due to increase in the number of non-members visitors by 5.4% because of good quality of service as the satisfaction rating has improved. Increase in admission fees will improve in operating margins. |
| Catering income | The catering income was reduced by 1.8%. This is due to overall decrease in number of visitors. Decrease in catering income will reduce your operating margins. | The catering income increased by 7.9%. This is due to increase in number of visitors by both members and non-members. Increase in catering income will have a positive effect on your operating margins. |

| | | |
|---|---|---|
| Shop income | The shop income reduced by 2.2%. This is due to overall decrease in number of visitors. Decrease in shop income will reduce your operating margins. | The shop income increased by 6.6%. This is due to increase in number of visitors by both members and non-members. Increase in shop income will have a positive effect on your operating margins |
| Site operating costs | The site operating costs reduced by 18.4%. This is due to decrease in level of activities as a result of fall in number of visitors and employees. This reduction will improve your operating margin. | The site operating costs increased by 3.4%. This is due to increase in level of activities as a result of rise in number of visitors. This will have an adverse impact on your operating margin. |
| Site maintenance costs | The site maintenance costs increased by 4.8%. This is possibly due to routine wear and tear as the site is over 400 years old. This increase will have an adverse impact on your operating margin. | The site maintenance costs increased by 27.3%. This is a substantial increase possibly due to higher number of visitors which resulted in extra maintenance of the site. This will have a substantial unfavourable impact on your operating margin. |
| **Non-financial performance:** | | |
| Number of Employees | The number of employees has reduced by 18.5%. This is alarming and the reason for this needs to be investigated so that the root cause can be identified. This can cause operational disruptions, poor service and demotivation. | The number of employees has remained the same. This is encouraging as this site is using more volunteers to handle the increase in number of visitors, which will improve the profitability. |
| Number of volunteers | The number of volunteers has reduced by 11.9%. This is alarming and the reason of this needs to be investigated so that the root cause can be identified. This can cause operational disruptions, poor service and demotivation. | The number of volunteers has increased by 10.7%. This is a good sign that site is using more volunteers in order to reduce the costs. |
| Satisfaction rating | The overall satisfaction rating has reduced. This is not a good sign and shows a fall in quality of service possibly due to reduction in number of employees and volunteers. This will lead to fall in number of visitors as can be seen. | The overall satisfaction rating has improved. this is quite favourable showing that the employees and volunteers and performing quite well. This will increase your number of visitors and hence more revenues. |

**Best regards**

**Senior consultant**

**(DRAFT ANY 5-6 ITEMS FOR EACH SITE COVERING BOTH FINANCIAL AND NON FINANCIAL)**

**(2) (b) Prepare briefing notes for HP's audit committee which assess the risks relating to shop operations and recommend actions which address the risks identified (14 marks + evaluation skill 4 = 18 marks)**

# BRIEFING NOTE

**TO: Audit Committee**

**FROM: Senior consultant**

**SUBJECT: Assess risks**

**DATE: 4 March 20X5**

**INTRODUCTION**

This briefing note assesses the risks relating to shop operations and recommends actions which address the risks identified.

| Risk | Recommendation |
|---|---|
| *High dependency on volunteers*<br>All four shops were staffed by volunteers only. Volunteers might not have the necessary skills and experience to manage the shop or they might discontinue without any prior notice. | Ideally shops should be staffed by a paid employee but this may increase the operating cost. However HP can do a cost benefit analysis and consider using paid employees atleast in larger shops only. |
| *Detect thefts*<br>Normally only one volunteer is on duty who serves customers and also expected to detect thefts. If the volunteer is busy with customers, there is no one to detect theft which will lead to losses. | CCTV cameras should be installed. This will discourage customers from attempting theft and will also help in monitoring and investigating thefts.<br><br>Also HP can consider deputing more than one volunteer at a given time so that theft can be monitored. |
| *No alarm system*<br>The shops did not have their own alarm systems. This increases the risk of theft after shop hours HP which will lead to loss of inventory as well as cash as small shops do not deposit cash in bank on a daily basis. | HP should install alarm systems so that in case of any break-in, the local police or security company are informed and they can prevent the theft. |
| *Manual cash register*<br>The two smaller shops use manual cash register and sales are written down in a ledger by the volunteer. This increases the chances of errors or fraud leading to losses for HP | Smaller shops should also have electronic cash registers like bigger shops so that all sales and cash records and up to date and accurate. |

| | |
|---|---|
| *Cash payments*<br>The two smaller shops only accept cash payments only. The cash is held in tills overnight and banked on a weekly basis. High overnight cash increases the chances of theft and fraud, particularly as there as there is no alarm system and you are dependent on volunteers. | Smaller shops should also offer bank card facility so that cash collections can be minimized. The cash should be banked on a daily basis.<br><br>Appropriate insurance cover should also be taken to secure the cash. |
| *Quarterly inventory count*<br>The volunteers staffing the four shops carry out inventory counts quarterly. Quarterly inventory count will cause delay in identifying any inventory shortage or fraud. Also the inventory count is conducted by the volunteer themselves i.e. there is no segregation of duties. | Inventory count should be conducted monthly. Also it should be conducted by a paid employee to ensure independence and segregation of duty. |
| *Inventory counts differences*<br>Differences found in the inventory count were not investigated at three of the shops<br>(student to draft) | |
| *Weekly update of inventory records*<br>Inventory records are generally updated weekly<br>(student to draft) | |
| *Lack of ageing of inventory*<br>Inventory records do not record how long items have been held at the shop<br>(student to draft) | |

**Best regards**

**Senior consultant**

**(DRAFT ANY 5 RISKS AND 5 RECOMMENDATIONS FROM ABOVE)**

**(3) Prepare briefing notes for HP's executive board which recommend how HP can effectively use e-marketing to attract and retain supporters and advise how HP can address the concerns raised in the blog about unethical fundraising (14 marks + commercial skill 4 = 18 marks)**

# BRIEFING NOTE

**TO: Executive Board**

**FROM: Senior consultant**

**SUBJECT: E-marketing**

**DATE: 4 March 20X5**

**INTRODUCTION**

This briefing note recommend how HP can effectively use e-marketing to attract and retain supporters and advise how HP can address the concerns raised in the blog about unethical fundraising.

**Effective use of e-marketing**

*Clear strategy*

Successful charities have a clear strategy for using e-marketing. HP should develop a formal e-marketing strategy so that this activity can be performed in structured and effective manner and unethical fund raising can be avoided.

*Impressive Website*

The website must make clear what is special about the charity and show what it is achieving. HP already has a website which publicizes its activities. However, HP should regularly review its website to ensure that it is appealing and able to impress donors and members.

*Social media marketing*

Strategy should include diverse media viewed by the charity's supporters. HP should actively use social media marketing such as facebook, intagram, twitter, blogs, forums, communities, etc. so that it is able to reach wider audience.

*Effective communication*

Successful charities consider different ways supporters can be contacted. HP can use social media, mobile apps, emails, text messages, telephones, mail posts, etc. so that it is able to establish contact with all types of donors.

*Build relationship*

Successful charities share data about their activities. HP can share its performance using e-marketing which will help in building strong relationships with their donors and members

*Personalized marketing*

E-marketing will help HP to do targeted and personalized marketing which is more effective and will help to attract and retain more donors and members.

*Data analytics*

HP collects donor data through its website. E marketing can help collect more data. This data can be used for data analytics which will help HP understand the latest needs, trends and patterns which will give HP competitive edge.

*Younger generation*

HP focus on hosting visits of school children. E marketing will help to attract younger generation who can be source of potential income in future.

*Geographical expansion*

HP is based in country of Eardisia. E marketing will you reach customers in all parts of the country as well as globally hence it will increase your customer base and revenues

*Lower costs*

E-marketing is more cost effective than traditional marketing. This will help in improving your profits.

**Avoid unethical fundraising**

*Code of conduct and training*

Collectors have been pressurizing vulnerable people. HP should have a formal code of conduct for its marketing team so that they do not pressurize vulnerable people. All marketing staff should be provided training and controls should be in place to monitor their performance to avoid potential threat to its image.

*Frequency of calls*

Many people have complained about being contacted too frequently. HP should have a strategy regarding the frequency of contact so that people do not get frustrated or upset.

*Telephone callers*

Telephone callers from charities have been criticized for making untrue or exaggerated claims about their charity's activities. Telephone callers should be provided with proper training and it should be ensured that they provide correct facts only.

*Personal data*

Lots of people have been worried about how charities use their personal information. HP should ensure that personal data is properly secure and not misused for any other purpose, as this can lead to loss of donors, legal fines and penalties and reputation damage.

*Third party fundraisers*

Many complaints have arisen about the use of third party fundraisers. HP should avoid using third party fundraisers as you will not have direct control over them and this can lead to reputational loss.

*Complaints and feedback*

Many charities have not publicized how donors can report concerns about fundraising tactics. HP should have feedback and complain option on its website, mobile app, social media and email so that people can report their concerns or feedback which will help HP in monitoring any unethical behavior by its marketing team.

**Best regards**

**Senior consultant**

**(DRAFT ANY 8-9 POINTS FROM ABOVE COVERING BOTH ADVANTAGES AND UNETHICAL FUNDRAISING)**